DATED 20 FEBRUARY 2026

(1) CALVERTON INDUSTRIES LIMITED

(2) PENNINE BUSINESS BANK PLC

STANDSTILL AND FORBEARANCE AGREEMENT

relating to a facilities agreement originally dated 9 March 2023

Parties

THIS AGREEMENT is made on 20 February 2026

BETWEEN:

(a) CALVERTON INDUSTRIES LIMITED, a company incorporated in England and Wales with registered number 03842197 whose registered office is at Calverton House, Foundry Road, Wolverhampton WV2 4JX (the "Company"); and

(b) PENNINE BUSINESS BANK PLC, a company incorporated in England and Wales with registered number 02218845 whose registered office is at 1 Sovereign Square, Leeds LS1 4BA (the "Bank"),

together the "Parties" and each a "Party".

Recitals

(A) The Bank made available to the Company a revolving credit facility of £18,000,000 and a term loan facility of £14,000,000 under a facilities agreement dated 9 March 2023 (the "Facilities Agreement").

(B) The Company has notified the Bank that it is in breach of the Financial Covenants in respect of the Relevant Period ending 31 December 2025 (the "Acknowledged Defaults").

(C) The Company has requested that the Bank refrain from exercising certain of its rights and remedies arising as a result of the Acknowledged Defaults, and the Bank has agreed to do so on the terms of this Agreement.

Operative provisions

1. Definitions and interpretation. In this Agreement, capitalised terms have the meaning given to them in the Facilities Agreement unless otherwise defined. "Standstill Period" means the period from the date of this Agreement to the Standstill Expiry Date. "Standstill Expiry Date" means 31 May 2026. "IBR" means the independent business review to be prepared by the Reviewer. "Reviewer" means Marlow Tax & Advisory Ltd.

2. Acknowledgement of defaults. The Company acknowledges and agrees that (a) the Acknowledged Defaults have occurred and are continuing; (b) as a result, the Bank is entitled to exercise its rights under clause 25 (Acceleration) of the Facilities Agreement; and (c) nothing in this Agreement constitutes a waiver of the Acknowledged Defaults or any other Default.

3. Standstill. Subject to clause 5 (Conditions) and clause 7 (Standstill Termination Events), the Bank agrees that during the Standstill Period it will not, solely by reason of the Acknowledged Defaults, (a) accelerate or demand repayment of the Loans; (b) cancel the Commitments; or (c) enforce, or instruct any security trustee to enforce, the Security. For the avoidance of doubt, the Bank's rights are suspended, not released, and all such rights revive automatically on the expiry or termination of the Standstill Period.

4. Standstill fee. The Company shall pay to the Bank a non-refundable standstill fee of £120,000 (the "Standstill Fee"), which shall be due and payable on the date of this Agreement and which the Parties agree may be debited from the Company's accounts with the Bank.

5. Conditions. The standstill in clause 3 is conditional on the Bank having received, in form and substance satisfactory to it, (a) this Agreement duly executed; (b) a certified copy of a board resolution of the Company authorising this Agreement; and (c) payment of the Standstill Fee.

6. Undertakings. During the Standstill Period the Company shall: (a) deliver to the Bank a rolling 13-week cash flow forecast every Friday; (b) deliver monthly management accounts within 10 Business Days of month end; (c) procure that the Reviewer delivers the IBR to the Bank by 10 April

2026; (d) deliver a consensual restructuring proposal to the Bank by 30 April 2026; and (e) not, without the Bank's prior written consent, make any Restricted Payment, incur Financial Indebtedness or dispose of any material asset.

7. Standstill termination events. The Standstill Period shall terminate automatically and immediately on the earlier of (a) the Standstill Expiry Date; (b) any Default occurring other than the Acknowledged Defaults; (c) any breach by the Company of this Agreement; (d) the commencement of any insolvency proceeding in respect of the Company; or (e) the Reviewer's IBR concluding that the Company is balance-sheet or cash-flow insolvent with no reasonable prospect of a consensual solution.

8. Reservation of rights. Save as expressly set out in clause 3, all of the Bank's rights, powers and remedies under the Finance Documents and at law are expressly reserved. No delay or omission by the Bank in exercising any right shall operate as a waiver.

9. Costs. The Company shall, within five Business Days of demand, pay or reimburse the Bank for all reasonable costs and expenses (including legal and financial adviser fees) incurred in connection with this Agreement and the wider restructuring.

10. Continuing effect. The Facilities Agreement and the other Finance Documents remain in full force and effect and, save as expressly amended or suspended by this Agreement, are unaffected. This Agreement is a Finance Document.

11. Confidentiality. Each Party shall keep the existence and terms of this Agreement confidential, save as required by law or regulation or to its professional advisers.

12. Governing law and jurisdiction. This Agreement and any non-contractual obligations arising out of or in connection with it are governed by English law. The courts of England have exclusive jurisdiction to settle any dispute arising out of or in connection with this Agreement.

Execution

IN WITNESS of which the Parties have executed this Agreement on the date first stated above.

SIGNED for and on behalf of CALVERTON INDUSTRIES LIMITED

Director: ..... (Andrew Calverton)

Director / Secretary: ..... (Patricia Vaughan)

SIGNED for and on behalf of PENNINE BUSINESS BANK PLC

Authorised signatory: .....